Reg. No. 26538

Esso Petroleum Company, Limited
ANNUAL REPORT
for the year ended 31 December 2009

Esso Petroleum Company, Limited
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for the year ended 31 December 2009

Esso Petroleum Company, Limited
COMPANY INFORMATION
for the year ended 31 December 2009

DIRECTORS

B W Corson - appointed 14 May 2009
K J Dickens
R S Franklin - resigned 14 May 2009
K L Hobbs
J Selzer

SECRETARY

A Clarke

REGISTERED OFFICE

ExxonMobil House
Ermyn Way
Leatherhead
Surrey KT22 8UX

INDEPENDENT AUDITORS

PricewaterhouseCoopers LLP
Chartered Accountants and Registered Auditors
1 Embankment Place
London WC2N 6RH

Esso Petroleum Company, Limited
REPORT OF THE DIRECTORS
for the year ended 31 December 2009

The directors present their Annual Report and the audited financial statements for the year ended 31 December 2009

PRINCIPAL ACTIVITIES

The principal activities of Esso Petroleum Company, Limited (the "Company") are the refining, distribution and marketing of petroleum products in the United Kingdom The principal subsidiaries of the Company are listed in note 11 to the accounts

Review of Company Business

During 2009 sales decreased as a result of lower prices, although gross profit margins were higher
The Company has net assets of £1,165 2m (2008 £1,293 0m)

Principal risks and uncertainties

The Company's principal risks and uncertainties comprise health and safety, environment and financial risks Financial risk management is detailed below and the Company's policies relating to Health and Safety and Environment are set out in the paragraphs on pages 4 and 5

Key performance indicators

The business of Esso Petroleum Company, Limited is managed on a divisional basis and performance is measured in areas such as safety, the environment, operations and finance Performance indicators are regularly shared with divisional management including representatives of the ultimate parent company Exxon Mobil Corporation

FUTURE DEVELOPMENTS

The Company intends to remain a major refiner and marketer of petroleum products in the United Kingdom

FINANCIAL RISK MANAGEMENT

The Company is exposed to financial risks from a variety of factors that include price, credit, liquidity, interest rates and foreign exchange

Price risk - The Company is exposed to fluctuations in the oil, petrochemical and gas prices as a result of its operations The Company does not use derivative financial instruments to manage the risk of fluctuating prices, so no hedge accounting is applied The Company will revisit the appropriateness of this policy should operations change in nature

Credit risk - The Company has implemented policies and procedures which require appropriate credit checks on potential customers before sales are made The Company also has systems and processes to ensure the ongoing monitoring of customer credit worthiness and has in place procedures to enable it to respond where change in customer credit risk is detected

Liquidity risk - The Company actively manages its finances to ensure that it has sufficient available funds for its operations It is the directors' understanding that the ExxonMobil group companies will continue to provide suitable resources to the Company to meet its needs The Company has a process in place to monitor the best financing structure and periodically reviews its strategies Following such review, loans may be repaid prior to their maturity date or extended or replaced by alternative funding arrangements

Interest rate risk - The Company can have both interest bearing assets and liabilities, these are generally held at floating rates The Company monitors its portfolio of interest bearing assets and liabilities and their financial impact The Company will reconsider the appropriate structure of its portfolio should operations change in size or nature

Foreign exchange risk - The Company may have assets and liabilities denominated in foreign currencies, predominantly the US Dollar and the Euro No derivative financial instruments are used to manage the risk of fluctuating exchange rates, so no hedge accounting is applied The Company has in place a foreign exchange policy and will reconsider the appropriateness of this policy should operations change in nature

Esso Petroleum Company, Limited
REPORT OF THE DIRECTORS
for the year ended 31 December 2009

RESULTS AND DIVIDENDS

The Company's profit for the year was £218 1m (2008 £92 6m)

No dividends were paid during the year (2008 £nil)

DIRECTORS

The directors who held office during the year and to the date of this report are listed on page 2

RESEARCH AND DEVELOPMENT

The Company is able to call on the extensive research and development resources of its ultimate parent company, Exxon Mobil Corporation This includes research into automotive and aviation fuels and engine lubricants and a comprehensive technical support, covering crude oils, industrial fuels and lubricants, bitumen and greases Research and guidance on environmental matters is also provided by other members of the ExxonMobil group

EMPLOYEES

The Company is an equal opportunity employer and complies with all relevant legislation It pays particular attention to measures which will encourage the employment and career development of both women and ethnic minorities

The Company's policy is also to ensure that equal opportunities, including training, career development and promotion, exist for disabled persons and employees who have become disabled while employed by the Company having regard to their particular circumstances

The Company has established over many years a comprehensive programme of employee communication and consultation The directors are committed to the continued involvement of employees in this way as an essential element in the Company remaining efficient and competitive It is an integral part of management's responsibility to ensure that all employees understand the Company's objectives and the contribution that each individual can make to the achievement of those objectives

HEALTH AND SAFETY

The Company's policy is to conduct its business in a manner that protects the safety of its employees, others involved in its operations, customers and the public The Company strives to prevent all accidents, injuries and occupational illnesses through the active participation of every employee The Company is committed to continuous efforts to identify and eliminate or manage health and safety risks associated with its activities

ENVIRONMENTAL POLICY

The Company has a policy to ensure that it conducts its business in a manner that is compatible with the balanced environmental and economic needs of the community Further, it is the Company's policy to comply with all applicable environmental laws and regulations and apply responsible standards where laws and regulations do not exist

Esso Petroleum Company, Limited
REPORT OF THE DIRECTORS
for the year ended 31 December 2009

The Company's key principles and commitments in the areas of safety, health and the environment, among others, are consistent with those of its ultimate parent company, Exxon Mobil Corporation Each year, Exxon Mobil Corporation publishes a detailed and comprehensive Corporate Citizen Report that gives a full account of its positions, actions and performance

Copies of this publication can be obtained by writing to Exxon Mobil Corporation, Attn Public & Government Affairs, CCR Requests, 5959 Las Colinas Boulevard, Irving, Texas 75039-2298, USA Alternatively, it can be viewed on www exxonmobil com on the Publications page

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law, the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) Under company law, the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period

In preparing those financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable UK Accounting Standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006 They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities

DISCLOSURE OF INFORMATION TO AUDITORS

Each of the persons who are directors of the Company at the time when the report is approved, confirm as follows

a) so far as the director is aware, there is no relevant audit information (that is, information needed by the Company's auditors in connection with preparing their report) of which the Company's auditors are unaware, and

b) the director has taken all the steps that he/she ought to have taken as a director in order to make himself/herself aware of any relevant audit information and to establish that the Company's auditors are aware of that information

On behalf of the Board,

Janine Selzer

J Selzer
Director
23 July 2010

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF
Esso Petroleum Company, Limited

We have audited the financial statements of Esso Petroleum Company, Limited (the "Company") for the year ended 31 December 2009 which comprise the profit and loss account, the statement of total recognised gains and losses, the balance sheet, the note of historical cost profits and losses and the related notes The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice)

RESPECTIVE RESPONSIBILITIES OF DIRECTORS AND AUDITORS

As explained more fully in the statement of directors' responsibilities set out on in the Report of the Directors the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view Our responsibility is to audit the financial statements in accordance with applicable law and International Standards on Auditing (UK and Ireland). Those standards require us to comply with the Auditing Practices Board's Ethical Standards for Auditors

This report, including the opinions, has been prepared for and only for the Company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006 and for no other purpose We do not, in giving these opinions, accept or assume responsibility for any other purpose or to any other person to whom this report is shown or into whose hands it may come save where expressly agreed by our prior consent in writing

SCOPE OF THE AUDIT OF THE FINANCIAL STATEMENTS

An audit involves obtaining evidence about the amounts and disclosures in the financial statements sufficient to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or error This includes an assessment of whether the accounting policies are appropriate to the Company's circumstances and have been consistently applied and adequately disclosed, the reasonableness of significant accounting estimates made by the directors, and the overall presentation of the financial statements

OPINION

In our opinion the financial statements

- give a true and fair view of the state of the Company's affairs as at 31 December 2009 and of its profit for the year then ended,
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice, and
- have been prepared in accordance with the requirements of the Companies Act 2006

OPINION ON OTHER MATTER PRESCRIBED BY THE COMPANIES ACT 2006

In our opinion the information given in the Report of the Directors for the financial year for which the financial statements are prepared is consistent with the financial statements

MATTERS ON WHICH WE ARE REQUIRED TO REPORT BY EXCEPTION

We have nothing to report in respect of the following matters where the Companies Act 2006 requires us to report to you if, in our opinion

- adequate accounting records have not been kept by the Company, or returns adequate for our audit have not been received from branches not visited by us, or
- the Company financial statements are not in agreement with the accounting records and returns, or
- certain disclosures of directors' remuneration specified by law are not made, or
- we have not received all the information and explanations we require for our audit

Stephen Mount (Senior Statutory Auditor)
For and on behalf of PricewaterhouseCoopers LLP
Chartered Accountants and Statutory Auditors
London
23 July 2010

Esso Petroleum Company, Limited
PROFIT AND LOSS ACCOUNT
for the year ended 31 December 2009

	Note	2009	2008
Continuing operations:		£m	£m
Turnover	2	6,803 1	9,437 2
Cost of sales		(6,199 1)	(9,025 5)
GROSS PROFIT		**604 0**	**411.7**
Distribution costs		(284 2)	(290 9)
Administrative expenses		(16 7)	(22 8)
OPERATING PROFIT	3	**303 1**	**98.0**
Income from shares in group undertakings		2 0	2 0
Income from fixed asset investments		1 4	1 3
Profit / (loss) on disposal of fixed assets		2 0	(1 7)
Interest receivable and similar income	6	5 7	14 3
Interest payable and similar charges	7	(10 6)	(35 3)
Other finance income and charges	20	(0 4)	48 5
PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		**303 2**	**127.1**
Taxation on profit on ordinary activities	8	(85 1)	(34 5)
PROFIT FOR THE FINANCIAL YEAR	18	**218.1**	**92.6**

Esso Petroleum Company, Limited
STATEMENT OF TOTAL RECOGNISED GAINS AND LOSSES
for the year ended 31 December 2009

	Note	2009 £m	2008 £m
PROFIT FOR THE FINANCIAL YEAR		**218 1**	**92.6**
Actuarial loss on pension plan	20	(451 8)	(283 3)
Movement on deferred taxation related to pension liability	16, 18	126 5	80 5
Unrealised surplus/(deficit) on revaluation of retail sites	10, 18	(27 3)	0 0
TOTAL RECOGNISED GAINS AND LOSSES RELATING TO THE YEAR		**(134 5)**	**(110.2)**

Esso Petroleum Company, Limited
NOTE OF HISTORICAL COST PROFITS AND LOSSES
for the year ended 31 December 2009

		2009 £m	2008 £m
REPORTED PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		**303 2**	**127.1**
Realısatıon of property revaluatıon gaıns of prevıous years	10, 18	6 7	11 5
HISTORICAL COST PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION		**309.9**	**138 6**
HISTORICAL COST PROFIT FOR THE YEAR RETAINED AFTER TAXATION		**224 8**	**104.1**

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Esso Petroleum Company, Limited
BALANCE SHEET
as at 31 December 2009

	Note	2009 £m	2008 £m
FIXED ASSETS			
Intangible assets	9	2 4	3 0
Tangible assets	10	1,429 1	1,475 2
Investments	11	9 7	9 7
TOTAL FIXED ASSETS		**1,441.2**	**1,487.9**
CURRENT ASSETS			
Stocks	12	569 9	379 3
Debtors Amounts falling due within one year	13	1,223 7	1,032 8
Debtors Amounts falling due after more than one year	13	18 1	11 7
Cash at bank and in hand		5 5	5 0
TOTAL CURRENT ASSETS		**1,817.2**	**1,428.8**
Creditors Amounts falling due within one year	14	(1,230 9)	(1,085 9)
NET CURRENT ASSETS		**586.3**	**342.9**
TOTAL ASSETS LESS CURRENT LIABILITIES		**2,027.5**	**1,830 8**
Creditors Amounts falling due after more than one year	14	(317 8)	(320 0)
Provisions for liabilities and charges	16	(62 0)	(59 8)
NET ASSETS EXCLUDING PENSION LIABILITY		**1,647 7**	**1,451.0**
Pension liability	20	(482 5)	(158 0)
NET ASSETS INCLUDING PENSION LIABILITY		**1,165 2**	**1,293 0**
CAPITAL AND RESERVES			
Called up share capital	17	573 4	573 4
Revaluation reserve	18	424 2	451 5
Capital reserve	18	3 3	3 3
Profit and loss reserve	18	164 3	264 8
TOTAL SHAREHOLDER'S FUNDS	19	**1,165 2**	**1,293 0**

The notes on pages 11 to 28 form an integral part of these financial statements

The financial statements on pages 7 to 28 were approved by the board of directors on 23 July 2010 and were signed on its behalf by

J Selzer

Director

1 ACCOUNTING POLICIES

These financial statements are prepared on the going concern basis under the historical cost convention, as modified by the revaluation of certain tangible fixed assets, in accordance with the Companies Act 2006 and applicable United Kingdom Accounting Standards

The Company has adopted the amendment to FRS 17, 'Retirement benefits' As a result of this, quoted securities held as scheme assets in the defined benefit pension scheme are now valued at bid price rather than mid-market value

CONSOLIDATED ACCOUNTS
The Company is a wholly-owned subsidiary of ExxonMobil UK Limited and is included in the consolidated financial statements of Esso UK Limited which is incorporated in England and Wales The Company has taken advantage of the exemption from preparing group accounts under Financial Reporting Standard ('FRS') 2, 'Accounting for subsidiary undertakings'

CASH FLOW STATEMENT
The Company is a wholly-owned subsidiary of ExxonMobil UK Limited and is included in the consolidated financial statements of Exxon Mobil Corporation which are publicly available Consequently, the Company has taken advantage of the exemption from preparing a cash flow statement under the terms of FRS 1 (revised 1996), 'Cash flow statements'

FOREIGN CURRENCIES
Monetary assets and liabilities denominated in foreign currencies are translated at rates prevailing at the year end Foreign currency transactions are translated at the rate ruling at the date of the transaction Foreign currency translation differences are included in the appropriate profit and loss account categories in the year in which they arise

TURNOVER
Turnover associated with the processing and sale of crude oil, natural gas, petroleum products and related goods and services is recognised when the title passes to the customer, which typically occurs at the point of delivery or point of receipt depending on contractual terms Turnover from sales made by refining operations is typically recognised when the product is placed onboard a vessel, on discharge or into a pipeline depending on agreed contractual terms Turnover is shown net of excise duties and Value Added Taxation (VAT)

RESEARCH AND DEVELOPMENT EXPENDITURE
Research and development expenditure is charged to the profit and loss account as incurred

1 ACCOUNTING POLICIES (continued)

INTEREST
All interest is charged to the profit and loss account

OPERATING LEASES
Operating lease payments are charged to the profit and loss account on a straight line basis over the lease term in the period to which they relate

INTANGIBLE ASSETS
Goodwill arising on acquisitions of businesses and recorded in the balance sheet is amortised through the profit and loss account The Company amortises such purchased goodwill by equal annual instalments over the purchased goodwill's expected useful life, which is typically between 10 and 20 years, being the directors' best estimate of the period over which the goodwill will be realised

Purchased CO2 emission rights are not amortised during the year as they are surrendered the following year after completion of an independent audit of the actual emissions

TANGIBLE ASSETS
Tangible assets are stated at cost less accumulated depreciation except in the case of certain land which is valued as detailed below

Premiums paid on operating leases for land and buildings have been capitalised and included within land and buildings

All assets are depreciated or amortised by equal annual instalments as follows

Buildings	3 3% to 4% per annum
Plant and Equipment	3 3% to 20% per annum
Leasehold land	0 5% to 6 66% per annum
Assets under construction	Not depreciated until brought into use
Freehold land	Not depreciated

REVALUATION OF FIXED ASSETS
Fixed assets are stated at cost except in the case of retail site land which is revalued on a 5 yearly basis by a member of the Royal Institute of Chartered Surveyors, with a review of the valuation made on an interim basis in accordance with FRS 15, 'Tangible fixed assets' An annual review is undertaken where there is evidence of a significant change in the revaluation A full valuation was undertaken as at 31 December 2009 by CB Richard Ellis Limited

INVESTMENTS
Investments are stated at cost less any diminution in value as a result of impairment reviews

STOCKS
Stocks are stated at the lower of cost and net realisable value Cost is calculated using the first-in, first-out method, including an appropriate proportion of overheads

CASH
As part of ExxonMobil's Treasury operations, the Company participates in an interest bearing bank account sweeping arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis The net amount as at the balance sheet date is fully liquid with the Company retaining full ability to access the cash at any time Interest is charged/credited on balances, including any overdraft positions, on commercially competitive terms

1 ACCOUNTING POLICIES (continued)

IMPAIRMENTS AND PROVISIONS
Intangible assets, tangible assets, investments and goodwill are regularly reviewed for evidence of possible impairment Major assets, including goodwill, are reviewed on a yearly basis while other assets are reviewed where events or changes in circumstance indicate that an impairment review is necessary Where a review indicates that the asset, or income generating unit where applicable, requires impairment then the carrying value will be written down immediately to its fair value

Where necessary provision is made for obsolete, slow moving and defective stocks

DEFERRED TAXATION
Provision for deferred tax is made in accordance with FRS 19, 'Deferred Tax' Full provision is made for deferred tax liabilities net of deferred tax assets arising from timing differences between the recognition of gains and losses in the financial statements and their recognition for tax purposes

Deferred tax liabilities and assets are discounted

PENSION COSTS
The Company is a participating employer in a funded defined benefit pension scheme in the UK, the assets of which are held in a separate trustee administered fund

Pension scheme assets are measured using market value Pension scheme liabilities are measured using the projected unit actuarial method and are discounted at the current rate of return on a high quality corporate bond of equivalent terms and currency to the liability The increase in the present value of the liabilities of the Company's defined benefit pension scheme expected to arise from employee service in the period is charged to operating profit The expected return on the scheme's assets and the increase during the year in the present value of the scheme's liabilities arising from the passage of time are included in other finance income Actuarial gains and losses are recognised in the statement of total recognised gains and losses

Pension scheme surpluses (to the extent that they are considered recoverable), or deficits in full, are recognised and presented on the face of the balance sheet net of the related deferred tax

The Company is a participating employer in the Merchant Navy Officers Pension Fund and the Merchant Navy Ratings Pension Fund, both industry defined benefit schemes The Company is unable to identify its share of the underlying assets and liabilities of these schemes on a consistent and reliable basis and in accordance with paragraph 9 of FRS 17 is therefore treating the schemes as defined contribution schemes The pension cost charges represent contributions paid by the Company to the funds

2 SEGMENTAL ANALYSIS

	2009	2008
TURNOVER BY DESTINATION	£m	£m
United Kingdom	5,408 1	6,615 8
Rest of Europe	533 6	1,091 1
Rest of the World	861 4	1,730 3
TOTAL	**6,803.1**	**9,437.2**

3 OPERATING PROFIT

	2009	2008
This is stated after charging the following amounts	£m	£m
Wages and salaries	106 0	102 9
Social security costs	10 8	10 5
Other pension costs	39 3	42 4
Other staff costs	8 6	8 5
TOTAL STAFF COSTS	**164 7**	**164 3**

Other staff costs comprise the cost of employees working on behalf of the Company who were seconded from other ExxonMobil affiliates

	£k	£k
During the year the Company obtained the following services from the Company's auditor and its associates		
Fees for audit of the Company accounts	112	103
Fees for other services	5	43
The audit of the Company's subsidiaries, pursuant to legislation	0	23
Tax services	10	17
Other services pursuant to legislation	55	65

	£k	£k
Operating leases - plant and machinery	14,849	14,111
Depreciation - owned assets	74,826	73,500
Amortisation of intangibles (note 9)	588	400
Research and development	4,902	2,966

4 EMPLOYEES

	2009	2008
The average number of persons (including directors) employed during the year was		
Marketing, Refining and Transportation	1,589	1,384
TOTAL	1,589	1,384

	2009	2008
The above numbers exclude the following employees (including directors) seconded to other ExxonMobil affiliates The Company does not bear the cost of these employees		
Marketing, Refining and Transportation	202	403
Exploration and Production	746	684
TOTAL	948	1,087

5 DIRECTORS' EMOLUMENTS

DIRECTORS' EMOLUMENTS - AGGREGATE	2009 £k	2008 £k
Pre-tax emoluments, excluding pension contributions	724	850
Company pension contributions to money purchase schemes	15	14
Amounts (excluding shares) receivable under long term incentive schemes	0	37
TOTAL	739	901

4 directors, including the highest paid director (2008 2 not including the highest paid director), exercised share options in the year and 1 director (2008 1), not including the highest paid director, became entitled to receive shares under long term incentive schemes

Retirement benefits are accruing to 5 directors (2008 5), including the highest paid director under a defined benefit scheme, and 2 directors (2008 2), including the highest paid director, under a money purchase scheme

DIRECTORS' EMOLUMENTS - HIGHEST PAID DIRECTOR	2009 £k	2008 £k
Pre-tax emoluments, excluding pension contributions	585	643
Company pension contributions to money purchase schemes	15	13
Defined benefit pension scheme accrued pension at year end	60	55
Amounts (excluding shares) receivable under long term incentive schemes	0	30

The above figures are based on a percentage split, according to time spent by each director in the Company which is determined by each director

6 INTEREST RECEIVABLE AND SIMILAR INCOME

	2009 £m	2008 £m
Amounts receivable from other ExxonMobil group undertakings	4 3	12 1
Other interest receivable	1 4	2 2
TOTAL	5 7	14.3

7 INTEREST PAYABLE AND SIMILAR CHARGES

	2009 £m	2008 £m
Amounts payable to other ExxonMobil group undertakings	10 6	35 2
Other interest payable	0 0	0 1
TOTAL	**10.6**	**35.3**

8 TAXATION ON PROFIT ON ORDINARY ACTIVITIES

	2009 £m	2008 £m
CURRENT TAX		
UK Corporation tax on profit for the period	46 2	(13 3)
Adjustments in respect of previous periods	(7 5)	(1 8)
TOTAL CURRENT TAX CHARGE / (CREDIT) FOR THE PERIOD	38 7	(15 1)
DEFERRED TAX		
Origination and reversal of timing differences	1 1	(16 4)
Pension contribution relief in excess of pension cost charge	45 3	66 0
TOTAL DEFERRED TAX CHARGE FOR THE PERIOD (note 16)	46 4	49 6
TAXATION ON PROFIT ON ORDINARY ACTIVITIES	**85.1**	**34.5**

Corporation Tax has been calculated at 28% on the taxable profit for the year (2008 28 5%) The tax assessed for the period is lower (2008 lower) than the standard rate of corporation tax in the UK (28%) The differences are explained below

FACTORS AFFECTING TAX CHARGE FOR THE PERIOD	2009 £m	2008 £m
Profit on ordinary activities before taxation	303 2	127 1
Profit on ordinary activities multiplied by standard rate of corporation tax in the UK of 28% (2008 28 5%)	84 9	36 2
Effects of		
Expenses not deductible for tax purposes and other permanent differences	0 6	11 3
Accelerated capital allowances and other timing differences	6 0	5 2
Pension contribution relief in excess of net pension cost charge	(45 3)	(66 0)
Adjustments to tax charge in respect of previous periods	(7 5)	(1 8)
TOTAL CURRENT TAX CHARGE / (CREDIT) FOR THE PERIOD	**38.7**	**(15 1)**

No provision has been made for deferred taxation on gains arising from revaluing retail properties to their market value Deferred taxation liabilities and assets are discounted

9 INTANGIBLE ASSETS

	Goodwill
COST	£m
BALANCE AT 1 JANUARY AND 31 DECEMBER 2009	7.3
AMORTISATION	
Balance at 1 January 2009	4 3
Charge for year	0 6
BALANCE AT 31 DECEMBER 2009	4 9
NET BOOK VALUE AT 31 DECEMBER 2009	2.4
NET BOOK VALUE AT 31 DECEMBER 2008	3 0

10 TANGIBLE ASSETS

	Retail Sites	Other Land & Buildings	Plant & Equipment	Assets Under Construction	Total
COST OR VALUATION	£m	£m	£m	£m	£m
Balance at 1 January 2009	815 3	114 4	1,640 7	66 1	2,636 5
Revaluation	(20 6)	0 0	0 0	0 0	(20 6)
Additions	0 0	0 7	2 9	63 6	67 2
Disposals	(12 6)	(1 2)	(23 0)	(2 3)	(39 1)
Transfers	1 4	(3 0)	54 3	(55 6)	(2 9)
BALANCE AT 31 DECEMBER 2009	783 5	110 9	1,674 9	71.8	2,641 1
ACCUMULATED DEPRECIATION					
Balance at 1 January 2009	107 3	46 2	1,007 8	0 0	1,161 3
Revaluations	2 0	(2 0)	0 0	0 0	0 0
Charge for year	9 2	2 3	63 9	0 0	75 4
Disposals	(3 9)	(1 0)	(19 8)	0 0	(24 7)
Transfers	0 0	(2 7)	2 7	0 0	0 0
BALANCE AT 31 DECEMBER 2009	114 6	42 8	1,054 6	0 0	1,212 0
NET BOOK VALUE AT					
31 DECEMBER 2009	668 9	68 1	620 3	71.8	1,429.1
31 DECEMBER 2008	708 0	68 2	632 9	66 1	1,475 2

Included within Retail Sites are sites with a net book value of £63 1m (2008 £46 4m) which are being held for resale

As at 31 December 2009 certain assets with an historical cost of £320 9m were revalued by CB Richard Ellis Limited, an external surveyor and a member of the Royal Institute of Chartered Surveyors, on a total open market value basis for existing petrochemical use of £820 8m, resulting in an decrease in the revalued amount of £20 6m These assets comprise the Retail portfolio of petrol filling stations held on a freehold or long term leasehold basis (at least 50 years unexpired term on the lease) and have been valued as fully equipped operational trading entities During the year 12 sites (2008 11 sites) which had previously been revalued were sold resulting in £6 7m (2008 £11 5m) being transferred from the revaluation reserve

10 TANGIBLE ASSETS (continued)

There are no assets being held under finance leases which have been capitalised as fixed assets (2008 £nil)

The net book value of Retail Sites and Other Land & Buildings comprises	2009	2008
	£m	£m
Freehold	714 4	752 7
Long leasehold	8 6	8 2
Short leasehold	14 0	15 3
TOTAL	737.0	776 2

If Retail Sites and Other Land and Buildings had not been revalued they would have been included at the following amounts	2009	2008
	£m	£m
Cost	470 2	478 0
Accumulated depreciation	(157 4)	(153 5)
Net Book Value	312.8	324.5

11 INVESTMENTS

	2009	2008
Shares in subsidiary undertakings and investments	£m	£m
Balance at 1 January	9 7	9 7
BALANCE AT 31 DECEMBER	9 7	9 7

Details of the principal companies in which the Company holds 20% or more of any class of equity share capital or 20% or more of the total allotted share capital as at 31 December 2009 are given below

NAME OF COMPANY	Class of Shares	Proportion of Shares	Voting Rights
SUBSIDIARY UNDERTAKINGS			
Comma Oil & Chemicals Limited	Ordinary	100%	100%
ExxonMobil Pension Trust Limited	Ordinary	100%	100%
Mainline Pipelines Limited	Ordinary	65%	65%
Redline Oil Services Limited	Ordinary	100%	100%
Retail Petroleum Services Limited	Ordinary	100%	100%
ROC UK Limited	Ordinary	100%	100%
Volunteer Involvement Trust	Ordinary	100%	100%
OTHER INVESTMENTS			
Gatwick Airport Storage and Hydrant Company Limited	Ordinary	25%	25%
Heathrow Hydrant Company Limited	Ordinary	20%	20%
Heathrow Hydrant Operating Company Limited	Ordinary	20%	20%
Manchester Airport Storage and Hydrant Company Limited	Ordinary	25%	25%
Stansted Fuelling Company Limited	Ordinary	29%	29%

All the companies operate in the United Kingdom, are registered in England and Wales and, with the exception of Volunteer Involvement Trust, have principal activities related to the oil and gas business Volunteer Involvement Trust is a registered charity providing financial assistance to charitable activities in the UK

12 STOCKS

	2009	2008
	£m	£m
Raw materials and consumables	145 3	110 9
Work in progress	66 6	37 7
Finished goods and goods for resale	358 0	230 7
TOTAL	569 9	379 3

The replacement cost of all categories of stocks held by the Company at 31 December 2009 was £594 9m (2008 £397 5m)

13 DEBTORS

	2009	2008
AMOUNTS FALLING DUE WITHIN ONE YEAR	£m	£m
Trade debtors	386 8	336 4
Amounts owed by other ExxonMobil group undertakings	783 5	580 1
Amounts owed by subsidiary undertakings	13 2	40 7
Other debtors	21 2	54 5
Prepayments and accrued income	19 0	21 1
TOTAL	1,223.7	1,032 8
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Other debtors	5 7	0 5
Prepayments and accrued income	12 4	11 2
TOTAL	18 1	11 7

The Company participates in an interest bearing bank account sweeping arrangement with another ExxonMobil group undertaking whereby the transactions cleared by the banks included in this arrangement are transferred to that undertaking on a daily basis The net amount of £296 2m as at 31 December 2009 is included in 'Amounts owed by other ExxonMobil group undertakings' (2008 £50 6m)

'Amounts owed by other ExxonMobil group undertakings' and falling due within one year include loans at the following interest rates

	2009	2008
	£m	£m
Interest at a rate of 3 month LIBOR - 0 025% (2008 3 month LIBOR - 0 3%)	260 0	260 0

All other balances are unsecured, interest free and have no fixed repayment date

14 CREDITORS

	2009	2008
AMOUNTS FALLING DUE WITHIN ONE YEAR	£m	£m
Bank loans and overdrafts	11 9	4 3
Trade creditors	87 5	26 4
Amounts owed to other ExxonMobil group undertakings - loans (note 15)	325 0	305 0
Amounts owed to other ExxonMobil group undertakings	305 2	256 4
Amounts owed to subsidiary undertakings	8 0	6 1
Taxation and social security	341 4	319 4
Other creditors	14 4	13 3
Accruals and deferred income	137 5	155 0
TOTAL	1,230 9	1,085.9

	2009	2008
AMOUNTS FALLING DUE AFTER MORE THAN ONE YEAR		
Amounts owed to other ExxonMobil group undertakings - loans (note 15)	300 0	300 0
Accruals and deferred income	17 8	20 0
TOTAL	317.8	320 0

Aside from loans detailed in note 15 all other amounts are unsecured, interest free and have no fixed repayment date

15 LOANS

	2009	2008
Amounts owed to other ExxonMobil group undertakings	£m	£m
Repayable within 1 year	325 0	305 0
Repayable after 1 year	300 0	300 0
TOTAL	625 0	605 0

Amounts repayable within one year include loans at the following interest rates

	2009	2008
	£m	£m
Interest at a rate of 3 month LIBOR + 0 95% (2008 3 month LIBOR + 0 55%)	325 0	305 0

Amounts repayable after one year include loans at the following interest rates

	2009	2008
	£m	£m
Interest at a rate of 3 month LIBOR + 0 0625% (2008 3 month LIBOR + 0 0625%)	300 0	300 0

Both the loans shown above are long term in nature with repayment dates ranging from 2014 to 2033 The loan of £325m has terms which enables it to be repaid within one year and is therefore classified as short term under FRS 25 However, the most appropriate financing structure for the Company is continually being re-evaluated and loans may be repaid prior to their maturity date and/or replaced by alternative financing

16 PROVISIONS FOR LIABILITIES AND CHARGES

	Deferred Taxation £m	Other £m	Total £m
Balance at 1 January 2009	59 8	0 0	59 8
Charge to the profit and loss account	1 1	1 1	2 2
Utilised during the year	0 0	0 0	0 0
BALANCE AT 31 DECEMBER 2009	**60 9**	**1.1**	**62 0**

PROVISION FOR DEFERRED TAX	2009 £m	2008 £m
Capital allowances in excess of depreciation	61 1	60 2
Other timing differences	(0 2)	(0 4)
DEFERRED TAXATION EXCLUDING THAT RELATED TO THE PENSION LIABILITY	60 9	59 8
Deferred taxation related to the pension liability (note 20)	(232 8)	(151 6)
TOTAL ASSET FOR DEFERRED TAXATION	**(171.9)**	**(91 8)**

Deferred tax balance at 1 January 2009	(91 8)
Deferred taxation charge in the profit and loss account (note 8)	46 4
Deferred taxation credit in the statement of total recognised gains and losses	(126 5)
DEFERRED TAXATION ASSET AT 31 DECEMBER 2009	**(171.9)**

Other provisions relate to retail liability claims

The provision for deferred tax is discounted as permitted by FRS 19 Discount rates used are the post-tax yields to maturity on government bonds with maturity dates similar to those of the deferred tax assets/liabilities The average discount rate used is 2 71% (2008 2 36%)

The deferred tax provision before discounting is £84 5m (2008 £87 5m) No provision has been made for deferred tax on gains recognised in revaluing property to its market value

Esso Petroleum Company, Limited
NOTES TO THE FINANCIAL STATEMENTS
for the year ended 31 December 2009

17 CALLED UP SHARE CAPITAL

	2009	2008
Authorised	£m	£m
229,000,000 ordinary shares of £1 each	229 0	229 0
500,000,000 redeemable ordinary shares of £1 each	500 0	500 0
TOTAL	729.0	729 0
Allotted and fully paid		
228,385,200 ordinary shares of £1 each	228 4	228 4
345,000,000 redeemable ordinary shares of £1 each	345 0	345 0
TOTAL	573 4	573.4

The redeemable shares rank pari passu with the ordinary shares of the Company including (but not limited to) the priority and amounts receivable on a winding up, the payment of dividends and voting rights There has been no other change or modification to the rights attached to the shares in the year

18 RESERVES

	2009
REVALUATION RESERVE	
Balance at 1 January	451 5
Revaluation during the year	(20 6)
Realisation of property revaluation gains of prior years	(6 7)
BALANCE AT 31 DECEMBER	424.2
CAPITAL RESERVE	
Balance at 1 January	3 3
BALANCE AT 31 DECEMBER	3.3
PROFIT AND LOSS RESERVE	
Balance at 1 January	264 8
Profit for the financial year	218 1
Actuarial loss on pension plan (note 20)	(451 8)
Movement on deferred taxation related to pension plan	126 5
Realisation of property revaluation gains in previous years	6 7
BALANCE AT 31 DECEMBER	164 3

19 RECONCILIATION OF MOVEMENT IN TOTAL SHAREHOLDER'S FUNDS

	2009 £m	2008 £m
Profit for the financial year	218 1	92 6
Actuarial loss on pension plan (note 20)	(451 8)	(283 3)
Revaluation during the year (note 10)	(20 6)	0 0
Movement on deferred taxation related to pension plan (note 16)	126 5	80 5
Net deduction from shareholder's funds	(127 8)	(110 2)
Opening shareholder's funds as previously reported	1,293 0	1,403 2
CLOSING SHAREHOLDER'S FUNDS	1,165 2	1,293.0

20 PENSIONS

The Company is the major employer of a funded defined benefit pension scheme in the UK The Actuaries are independent of the Company and their latest full actuarial valuation was carried out in 2008 on plan assets and liabilities as at 31 December 2007 This has been updated to 31 December 2009 using the assumptions described below

Financial assumptions	2009	2008	2007
Rate of increase in salaries	5 00%	4 20%	4 80%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (pre April 97)	2 50%	1 90%	2 30%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 97 to post March 06)	3 50%	2 70%	3 30%
Rate of increase in pensions in payment in excess of any Guaranteed Minimum Pension element (post April 06)	2 50%	2 50%	2 50%
Discount rate	5 70%	6 70%	5 80%
Inflation assumption	3 50%	2 70%	3 30%

20 PENSIONS (continued)

The mortality assumptions used were as follows	2009	2008
Longevity at age 60 for current pensioners		
Male	26 6	26 5
Female	29 1	29 0
Longevity at age 60 for future pensioners		
Male	27 6	27 5
Female	30 1	30 0

The assets in the scheme and the expected rate of return were

	Expected long term rate of return at 31/12/09	Value at 31/12/2009	Expected long term rate of return at 31/12/08	Value at at 31/12/08	Expected long term rate of return at 31/12/07	Value at at 31/12/07
		£m		£m		£m
Equities	8 50%	1,378 2	8 40%	1,475 6	8 60%	1,872 7
Property	7 10%	149 7	6 70%	152 8	7 60%	195 6
Bonds	5 10%	962 5	5 00%	528 7	5 30%	690 3
Cash & Other	0 00%	(2 4)	0 00%	1 2	0 00%	(1 6)
TOTAL		**2,488 0**		**2,158.3**		**2,757 0**

The equity investments and bonds held in scheme assets are quoted and valued at the current bid price following the adoption of the amendment to FRS 17 Previously these were valued at mid price There has been no change to the value of assets at 31 December 2007 as the differences between current bid price and mid price are immaterial

Balance sheet liability as at 31 December	2009	2008
	£m	£m
Total market value of scheme assets	2,488 0	2,158 3
Actuarial liabilities	(3,203 3)	(2,467 9)
Deficit	(715 3)	(309 6)
Related deferred tax asset	232 8	151 6
Net pension asset / (liability)	**(482.5)**	**(158 0)**

Reconciliation of present value of scheme liabilities	2009	2008
	£m	£m
1 January	2,467 9	2,831 3
Current service cost	38 3	42 4
Loss on curtailment	1 0	0 0
Interest cost	160 8	160 4
Scheme participants' contributions	8 6	7 8
Benefits paid	(131 1)	(128 0)
Actuarial loss/(gain)	657 8	(446 0)
31 December	3,203 3	2,467 9

20 PENSIONS (continued)

Sensitivity analysis of scheme liabilities·
The sensitivity of the present value of scheme liabilities to changes in the principle assumptions used is set out below

	Change in assumption Increase / (decrease)	Impact on scheme liabilities Increase / (decrease)
Discount rate	0 25%	(4 4%)
Rate of inflation	0 25%	4 0%
Rate of increase in salaries	0 25%	0 7%
Rate of increase in pension in payments	0.25%	2 8%
Mortality	1 year	2 8%

Reconciliation of fair value of scheme assets	2009 £m	2008 £m
1 January	2,158 3	2,757 0
Expected return on scheme assets	160 4	208 9
Actuarial gains/(losses) on assets	206 0	(729 1)
Scheme participants' contributions	8 6	7 8
Benefits paid	(131 1)	(128 0)
Contributions by employer	85 8	41 7
31 December	2,488 0	2,158 3

Scheme assets do not include any of Esso Petroleum Company, Limited's own financial instruments, or any property occupied by Esso Petroleum Company, Limited

The expected return on scheme assets is determined by considering the expected returns on the assets underlying the current investment policy Expected yields on fixed income investments are based on gross redemption yields as at the balance sheet date Expected returns on equity investments reflect long-term real rates of return experienced in the respective markets

The actual return on scheme assets in the year was £366 4m (2008 £520 2m negative)

Components of pension cost for the year ended 31 December	2009 £m	2008 £m
Current service cost	(38 3)	(42 4)
Loss on curtailment	(1 0)	0 0
Total operating charge	(39 3)	(42 4)
Expected return on assets	160 4	208 9
Interest cost	(160 8)	(160 4)
Net amount charged to financing provision	(0 4)	48 5

Of the total operating charge, £24 8m (2008 £24 3m) is included within cost of sales, £12 1m (2008 £8 1m) is included in distribution costs and £2 4m (2008 £10 0m) is included within administrative expenses

20 PENSIONS (continued)

Analysis of the amounts recognised in the Statement of Total Recognised Gains and Losses ("STRGL"):

	2009 £m	2008 £m
Actual return higher/(lower) than expected return on scheme assets	206 0	(729 1)
Experience gain arising on pension scheme liabilities	31 9	22 4
Change in assumptions underlying the present value of the scheme liabilities	(689 7)	423 4
Net actuarial loss recognised in statement of total recognised gains and losses	(451 8)	(283.3)

The cumulative amount of actuarial losses recognised in the statement of recognised gains and losses is £1,646 7m

History of experience gains and (losses) for the year ended 31 December·

Difference between expected and actual return on scheme assets.

	2009	As restated 2008	As restated 2007	2006	2005
Amount - £m	206 0	(729 1)	(35 8)	79 2	195 3
Percentage of scheme assets	(8 3%)	33 8%	1 3%	3 6%	9 6%
Experience gains and (losses) on plan liabilities.					
Amount - £m	31 9	22 4	(26 3)	(140 2)	12 8
Percentage of the present value of scheme liabilities	1 0%	0 9%	0 9%	4 8%	(0 5%)
Total amount to be recognised in STRGL					
Amount - £m	(451 8)	(283 3)	105 0	(36 0)	(65 1)
Percentage of the present value of scheme liabilities	14 1%	11 5%	3 7%	1 2%	2 4%

The actuarial valuation of the plan at 31 December 2009 showed an increase in the deficit before tax from £309 6M to £715 3M This is primarily due to increases in inflation rates and decreases in discounts rates for the period Normal employer contributions were set at 25 3% of pensionable salaries with effect from 1 January 2008, following the 31 December 2007 actuarial valuation, this contribution level is subject to future actuarial review The total contributions expected to be made by Esso Petroleum company Limited in the year 2010 is therefore £48 4m

Merchant Navy Officers Pension Fund

The Company is a participating employer in the Merchant Navy Officers Pension Fund Company contributions to this fund amounted to £2 0m (2008 £2 0m) during the year In 2009 this consisted entirely of deficit contributions (2008 £2 0m)

The last valuation report for this fund was carried out by a qualified independent actuary as at 31 March 2009

20 PENSIONS (continued)

The schedules provided by the fund's trustees to the Company details only the amount for which it is seeking contribution, so the Company is unable to identify its share of the underlying assets and liabilities of the plan on a consistent and reliable basis and in accordance with paragraph 9 of FRS 17 is therefore treating the plan as a defined contribution plan

The latest actuarial valuation as at 31 March 2009 showed an aggregate fund deficit of £740m (2006 £151m) Additional contributions as a result of this valuation are expected to be requested with effect from September 2010

Merchant Navy Ratings Pension Fund
The Company is also a participating employer in the Merchant Navy Ratings Pension Fund Company contributions amounted to £1 2m (2008 £1 2m) during the year consisting entirely of a deficit contribution

The last FRS 17 valuation report for this fund was carried out by a qualified independent actuary as at 31 March 2008

The schedules provided by the fund's trustees to the Company details only the amount for which it is seeking contribution, so the Company is unable to identify its share of the underlying assets and liabilities of the plan on a consistent and reliable basis and in accordance with paragraph 9 of FRS 17 is therefore treating the plan as a defined contribution plan

The latest actuarial valuation as at 31 March 2008 showed an aggregate fund deficit of £175m (2005 £94m) Contributions are expected to be requested from all the members until 2021

21 CAPITAL COMMITMENTS

	2009 £m	2008 £m
Commitments under contracts for capital expenditure not provided for in these financial statements amount to	20.5	7.6

22 COMMITMENTS UNDER OPERATING LEASES

At 31 December the Company had annual commitments under non cancellable operating leases expiring as follows	2009 Land & Buildings £m	2008 Land & Buildings £m
- within one year	0 5	0 0
- during two to five years	0 2	1 2
- after five years	2 2	2 4
TOTAL	2 9	3.6

23 CONTINGENT LIABILITIES

The Company has given guarantees in respect of the house sale guarantee scheme for relocating 3 employees (2008 15) This involves guaranteeing the sale of the property at market value for employees who are relocating There is no material difference between the guaranteed minimum and the current market value of these properties (2008 £nil)

24 RELATED PARTY BALANCES

The Company is a 100% subsidiary within the Exxon Mobil Corporation Group and, therefore, utilises the exemption contained in paragraph 3(c) of FRS 8 'Related party disclosures' not to disclose any transactions with any entities that are part of that group The address at which the Exxon Mobil Corporation consolidated financial statements are publicly available is detailed in note 25

At 31 December 2009 the advance rental payment made to landlords on behalf of directors were K L Hobbs £56,176 (2008 £56,253) and B Corson £5,041 (2008, £nil) The advance rental payments are part of the employee relocation scheme

25 ULTIMATE PARENT COMPANY

The immediate parent company is ExxonMobil UK Limited The ultimate parent company and controlling party is Exxon Mobil Corporation, incorporated in New Jersey, USA Exxon Mobil Corporation is listed on the New York Stock Exchange and its shares are widely dispersed The smallest group of which the Company is a member and for which group accounts are prepared is Esso UK Limited Accounts can be obtained from the Public Affairs Department, ExxonMobil House, Ermyn Way, Leatherhead, Surrey KT22 8UX The largest group of which the Company is a member and for which group accounts are prepared is Exxon Mobil Corporation Accounts can be obtained from Exxon Mobil Corporation, Shareholder Relations, Post Office Box 140369, Irving, Texas 75014 - 0369, USA

26 POST BALANCE SHEET EVENTS

A number of changes to the UK Corporation tax system were announced in the June 2010 Budget Statement and are expected to be enacted in the Finance Bill 2010 The Bill will include legislation to reduce the main rate of corporation tax from 28% to 27% from 1 April 2011 Changes have not been substantively enacted at the balance sheet date and, therefore, are not included in these financial statements The effect of these changes to be enacted in future Finance Bills is currently being evaluated by the Company